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ECB to stay on hold next week, stressing full optionality

We expect the European Central Bank to keep rates on hold next week, but see an 'insurance' hike at the June meeting

ECB President, Christine Lagarde speaking in Berlin on Monday

The IMF Spring Meetings last week were the traditional outlet for ECB comments. There was hardly an ECB official who didn’t have something to say on what could be next for the European Central Bank. In sum, these comments sent two important signals:

- There is no case for an April rate hike, and
- Optionality is back on the table, ranging from “a cut could be needed if the economy moves toward recession” to “market bets on two rate hikes not unreasonable".

If the ECB still needs communication advice for next week, it should rewatch some Hollywood action-hero movies.

Why 2026 is not 2022 - or is it?

With the ongoing war in the Middle East, higher energy prices and elevated uncertainty, it’s obvious that the ECB’s famous ‘good place’ is no more. Instead, the Bank is back in crisis mode, shifting its focus from longer-term projections to actual developments and back to a “driving at sight" approach. Key variables to watch are actual inflation data, survey based longer term inflation expectations, and wage developments, all of which will be weighed against the risk of slowing economic activity and financial stability concerns.

The only problem is that hardly any of this data will be available before next week's meeting. Looking at the calendar, there will be another batch of sentiment indicators, a handful of April country inflation releases, and initial estimates of first quarter GDP on the day of the meeting. In all honesty, that does not look sufficient to move the needle, unless the ghosts of 2022 are keeping policymakers awake at night.

What are these ghosts? It's the spectre of the narrative that the ECB was too late in responding to the 2022 inflation shock and will therefore act more preemptively right now. However, back in 2022, the global economy was emerging from lockdown with healthy balance sheets and an almost unstoppable consumer appetite to go out and spend – the perfect breeding ground for fast-spreading inflation. This time, the inflationary impact of an energy price crisis is likely to be more muted, as consumers will be far more reluctant to open their wallets. You can already see that reluctance in reported willingness-to-spend indicators, which are currently well below 2022 levels. At the same time, the hit to economic activity could be sharper than in 2022, as illustrated by the decline in sentiment indicators.

What is also different is that back in 2022, the ECB was emerging from an extremely accommodative stance and normalising policy from negative interest rates and quantitative easing. With hindsight, the biggest policy mistake was probably the delayed response to an energy price shock that ultimately morphed into a broader inflation surge. This time around, higher bond yields and dropping excess liquidity are already part of a more restrictive monetary policy stance, and the policy rate is at neutral, not accommodative. A very different (and better) starting position than in 2022.

On hold next week but insurance hike at the June meeting

Looking beyond the April meeting, we think the ECB – like us – is expecting an initial inflation wave, starting with gasoline prices, followed by knock-on effects on transportation costs, food prices and other industrial products. As long as this remains a single, time limited wave, there is no need for ECB rate hikes.

That said, three potential pain points remain for the ECB:

A psychological one: Headline inflation above 4%, reviving uncomfortable memories of 2022;

An analytical one: Core inflation above 3%, signalling broader price pressures; and

A credibility one: A surge in survey based inflation expectations which would make inaction increasingly difficult to justify.

The longer the Strait of Hormuz blockade lasts, the greater the likelihood that some of these pain points will be hit. This is why we now see the ECB announcing at least one insurance rate hike, following the tradition of insurance cuts. Some would go so far as to call it a policy mistake.

All in all, we expect the ECB to stay on hold next week and to stress full optionality. The ECB shouldn't be in any rush or panic to hike rates but will definitely want to come across as fully determined to act if needed. How to do this best? Just rewatch some Hollywood action movies.

The most determined and fearsome action heroes are those talking the least. It's the wrong accent but a simple 'I'll be back' would do.

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Disclaimer

Energy shock 2.0 – who breaks, who bends in Central and Eastern Europe

The oil shock that began in March isn't just another commodity move; it's a macro stress test at a difficult time for the CEE region, when disinflation was maturing, fiscal space was narrow, and demand was largely fragile. The differences that matter most aren't how much oil a country imports, but who has the institutional shock absorbers to manage the blow

How the CEE region copes with surging energy prices is not merely a function of oil imports, but of the institutional shock absorbers available to manage the blow

The 2026 energy shock has hit the CEE3 (the Czech Republic, Poland and Hungary) and Turkey at precisely the wrong moment. Disinflation has only just been restored, growth remains fragile, fiscal room is thin, and central banks were just preparing to ease. This makes the new oil shock less a replay of 2022 than a genuine policy stress test – one that will separate economies with credible institutions and strategic buffers from those still relying on short-term fixes.

In a broader sense, this energy shock is a stress test that Europe may fail by default. Handled nationally, it can lock in a two-speed Europe – a sheltered core cushioned by fiscal space and EU risk sharing, and a periphery condemned to adjustment, weaker growth, and stalled convergence. That outcome would not be an accident, but a policy choice. The alternative is uncomfortable but clear: deeper integration or deeper divergence. Europe either uses this shock to mutualise risk and modernise its energy base, or accepts fragmentation as the price of incrementalism.

- **This is not mainly an energy-dependence story; it's a policy-capacity story:** what matters most is not who imports the most oil or gas, but who still has the institutional strength, fiscal space, monetary credibility, and external support to absorb the shock without derailing recovery.

- **The main macro risk is demand destruction, not a classic overheating cycle:** higher energy prices now function as a tax on already fragile economies, squeezing households, weakening margins, and forcing central banks into an uncomfortable trade-off between protecting growth and defending credibility.

- **Resilience across the region is highly uneven:** the Czech Republic looks best placed to bend without breaking; Poland still has growth but little fiscal room; Hungary is the most complicated CEE case given its structural exposure; and Turkey remains the most vulnerable because energy sensitivity, FX pass-through, and limited external backstops all collide at once.

- **The countries that emerge stronger will be those treating energy policy as industrial policy:** the 2022 subsidy playbook is largely exhausted. The real differentiator is now whether governments use EU instruments and public investment to build energy resilience – grids, renewables, efficiency, infrastructure – or fall back on blunt support measures that protect consumption today but erode competitiveness tomorrow.

The timing could hardly be worse

The de facto closure of the Strait of Hormuz to most non Iranian shipping since 28 February has stripped out a large share of global crude and LNG supply at a moment of already fragile demand. ICE Brent prices quickly climbed toward levels that European policymakers had previously treated only as tail risk scenarios, and, despite extensive mitigation efforts including the rerouting of shipments, the release of sanctioned oil onto the market, and coordinated drawdowns from strategic petroleum reserves, the global economy is still operating with a significant net loss of oil supply. According to our estimates, even after accounting for pipeline diversions, alternative shipping routes, and emergency stock releases, around 13 million barrels per day of oil supply remain effectively disrupted.

For Central and Eastern Europe and Turkey, which sit at the geographic and economic crossroads of this shock, the impact is real and immediate. The region spent 2024 and most of 2025 restoring disinflation, stabilising external balances, and rebuilding room for monetary easing. The question now is whether those gains can withstand a renewed cost push surge. Some countries are better positioned than others. The critical differences extend beyond energy exposure. Institutional strength, fiscal space, and access to EU financial instruments – such as Security Action for Europe (SAFE) and the Recovery and Resilience Facility (RRF) – will shape how effectively each economy can absorb and offset the blow.

A different shock in a different world

A useful way to understand the 2026 energy shock is through comparison with 2022. That earlier episode was, in essence, a supply shock landing on a booming economy. Post-pandemic demand was surging, households were running down accumulated savings, labour markets were tightening, and firms found it relatively easy to pass costs through. Central banks reacted late, allowing inflation expectations to drift, most starkly in Hungary and Turkey. The result was a multi year inflation overshoot, prolonged monetary tightening, and a serious real income squeeze.

The world of early 2026 looks structurally different. The supply disruption in the Middle East is, if anything, sharper in its initial price impulse. But the demand backdrop could hardly be of greater contrast. German industrial output – the anchor of CEE manufacturing exports – has been flat for nearly two years. Real disposable income growth in the region has slowed from its 2024 peak. Labour markets, while still tight in Poland and the Czech Republic, are no longer in a state of broad overheating. And consumer confidence was already subdued heading into April 2026.

This combination of a cost-push shock hitting weak demand creates a fundamentally more complex macro challenge than in 2022. Back then, rising energy prices were partly absorbed by strong nominal income growth, and central banks eventually had a clear mandate to tighten. Now, the same type of shock acts as a regressive tax in a fragile momentum, risks stalling the recovery, and leaves central banks torn between the old disinflation agenda and the new price threat. We are not in a price-wage spiral scenario; we are in a demand-destruction scenario, and policy has no clean instruments.

The non-linearity in price pass-through is also likely underappreciated. In low-inflation environments, energy price impulses can partly be absorbed within firm margins when demand is weak. But once headline inflation crosses certain thresholds or maintains sufficient stickiness, pass-through becomes disproportionately stronger and expectations de-anchor more easily. The economies most at risk are those already operating close to or above those pain thresholds when the shock arrived.

The structural burden of energy intensity and exposure

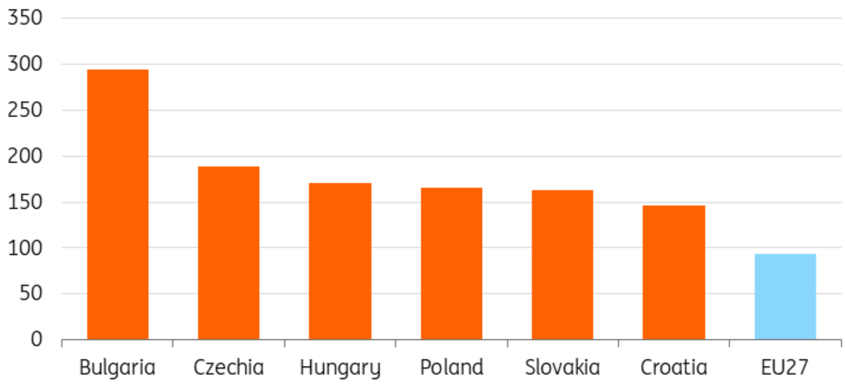
Understanding the regional impact of the shock starts with a basic structural fact: CEE and Turkey remain more energy intensive than Western Europe. Eurostat's 2024 data shows that, while the EU reduced the energy intensity of GDP by roughly one quarter between 2014 and 2024, most CEE economies sit above the EU average – some by a wide margin – meaning any rise in energy prices exerts a proportionally heavier drag on growth.

The composition of that exposure matters as much as the level. Poland and the Czech Republic carry heavier exposure to coal and carbon pricing under the EU Emissions Trading System – both have spent close to 1% of GDP annually on emission allowances, a structural cost that sits directly on their external accounts and industrial competitiveness. The forthcoming ETS2 expansion to buildings and road transport fuels in 2027 will add another layer to this burden, converging with the Hormuz shock if energy prices remain elevated.

Hungary is more exposed through the natural gas channel, with vulnerabilities tied to LNG availability. It's a textbook case: heavy net gas imports, gas intensive industrial production, and electricity prices tied to the marginal cost of gas fired generation.

Turkey's exposure is broader still. As a net hydrocarbon importer with an annual net energy bill standing at US$47 billion in 2025, it depends simultaneously on oil, gas, and coal, compounded by rapid FX pass through into domestic prices if the central bank allows a rapid pace of exchange rate depreciation.

Figure 1: Energy intensity of GDP (kilograms of oil equivalent per thousand euro)



Source: Eurostat

The industrial structure further complicates the impact. Manufacturing accounts for a larger share of GDP in CEE than in Western Europe, so the shock hits hardest in a segment that has already acted as a drag on growth for two years. Energy-intensive firms in metals, chemicals, and transport equipment are financially constrained and may begin cutting investment, setting up competitiveness losses that persist well beyond the commodity shock itself.

These structural features produce different macro sensitivities across the region. Our calibration, drawing mostly on central bank assessments and our own analysis, suggests the order-of-magnitude impact shown in Table 2. These figures represent first-year effects under broadly unchanged volumes and should be interpreted as indicative rather than model-precise; they likely underestimate the shock if gas prices rise alongside oil.

Figure 2: Estimated macro sensitivity to a 10% increase in oil prices

Economy	CPI impact (pp)	Real GDP impact (pp)	Current account (% of GDP)
Poland	0.30	−0.15	−0.15
Czech Republic	0.20	−0.10	−0.10
Hungary	0.35	−0.10	−0.15
Turkey	0.70	−0.30	−0.20

Source: ING

Note: cumulative 12-month impacts under constant-volume assumption; Turkish coefficient reflects additional FX pass-through channel

At current trajectories – with oil not far from US$100/bbl for an extended period – the mechanical hit to 2026 inflation could be around 1.0ppt higher than our pre-shock baselines for the CEE3, and materially more for Turkey. Current account balances could see meaningful deterioration as well, most acutely in Hungary and Turkey.

The starting grid: Who was where when the shock landed

Sensitivity coefficients are only part of the picture. Equally important is each economy's starting position, because the same external shock can produce very different domestic outcomes depending on fiscal space, monetary flexibility, and cyclical momentum.

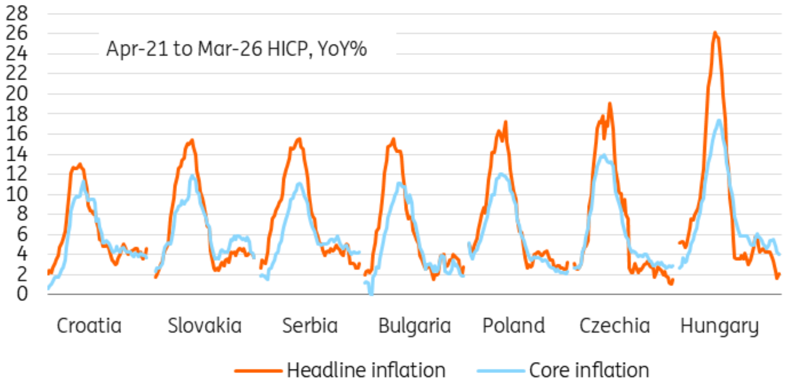
Poland enters the shock from the strongest cyclical position among the CEE3. GDP grew 3.6% in 2025, the services sector is performing well, and consumption has been resilient. But its fiscal position is arguably the weakest in the group; the budget deficit may near 7.0% of GDP in 2026, and public debt is on track to exceed 60%. The easing cycle that resumed in September 2025 is now directly challenged. Surging fuel prices have jeopardised the low-inflation trajectory, additional monetary easing is off the table, and broad energy price shielding – used heavily in the previous cycle – cannot be repeated without meaningfully worsening a deficit already attracting rating agency attention.

The Czech Republic is the regional benchmark for stability. With the policy rate at 3.50% and inflation largely back at target, the Czech National Bank (CNB) was flagging potential hikes in 2027 before the shock arrived. Czech exports are finding new customers in the US, the Middle East, and Asia. The labour market is tightening again, and the external balance is in surplus. For Czechia, the energy shock is a headwind, not a regime shift.

Hungary arguably presents the most complicated pre-shock backdrop. It enters 2026 after three years of real GDP stagnation: investment has fallen, business confidence remained subdued, and inflation was sticky until late 2025 despite the weak economy. Monetary policy stayed cautious to keep the forint attractive and anchor expectations. With inflation hitting a 10-year low in February 2026, Hungary was finally on the verge of reaping the benefits of disinflation and a rate cut was implemented shortly before the Middle East conflict erupted. The shock, therefore, hits at the most optimal inflation moment – but unresolved energy intensity, import reliance, and the risk of delayed economic acceleration complicate the picture considerably.

Turkey presents a unique profile. Its sensitivity to energy price movements is high, and its external position is more exposed than the CEE economies, which benefit from EU-based institutional support. The central bank's disinflation efforts have been notable, and gross reserves reached record levels in late 2025. But the current account deficit has begun widening again, the lira remains under a tight central bank grip amid foreign outflows, and the interplay between energy prices and currency dynamics warrants close monitoring. As a result, Turkey may experience a more pronounced response to the current shock – both in terms of macroeconomic impact and the policy challenges it presents.

Figure 3: Inflation comparison across the region in the previous energy shock



Source: Eurostat

What policy can and cannot do

Monetary policy across the region has been caught in mid-transition. Central banks that were edging toward easing now face an uncomfortable reversal. The National Bank of Poland (NBP) has halted cuts; the CNB is on hold with a tightening bias; the National Bank of Hungary (NBH) remains restrictive to protect the forint. The European Central Bank (ECB) held rates but raised its 2026 inflation forecast and cut its growth, both explicitly linked to the energy shock.

The Turkish central bank has moved quickly, providing FX supply to the system, tightening Turkish lira liquidity that could flow to FX, and raising the effective cost of funding by 300bp to 40% to shift away from its easing bias.

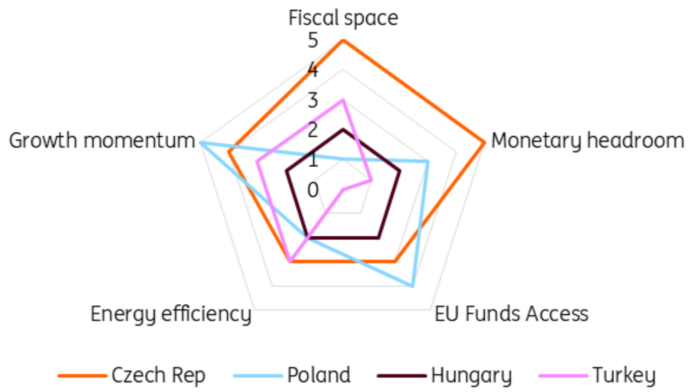
The textbook reaction to a supply shock is to look through the first round price impulse, act only if second round effects materialise, and avoid choking an already weak economy with unnecessary tightening. In 2022, estimates of the transitory nature of the shock proved too optimistic. In 2026, central banks are understandably on high alert to avoid repeating that mistake. The bias is towards caution rather than aggressive tightening, but easing is largely off the table for most of 2026, especially under stress scenarios.

On the fiscal side, the 2026 story diverges most sharply from 2022. In the earlier crisis, governments deployed broad household energy price shields at substantial fiscal cost. Those shields bought time but also built up deferred inflationary pressures that materialised when caps were removed. In 2026, the fiscal space for broad price shielding is objectively narrower.

Poland is running a deficit well above the EU reference value. Hungary must protect its debt-to-GDP trajectory. The lesson of 2022 was that blunt tools defer rather than solve the problem. The lesson of 2026 may be that the political temptation to repeat the bluntness remains high even though the tools are no longer viable. In Turkey, fiscal prudence in recent years has provided a buffer, with the government reinstating a sliding-scale tariff that absorbs roughly 75% of the oil price shock at a manageable fiscal cost, helping contain first-round inflationary effects. Even so, upward pressure from oil, gas, transport, and fertiliser prices will likely push inflation above 25% this year.

Figure 4: Policy space and structural buffers

Scores range from 1 (weak) to 5 (strong), where higher values indicate greater policy space or stronger structural buffers



Source: ING

This is where EU instruments become the defining differentiator. Poland has an RRF envelope of roughly €60 billion and is accessing the new SAFE facility for up to €43.7 billion. CEE countries with immediate access to EU funds can substitute some of the fiscal impulse they cannot generate domestically with European co-financing, targeting the energy transition and industrial modernisation rather than consumption subsidies. Hungary is still facing uncertainty regarding the timing of EU funds, so the issue is likely to be solved – but Turkey has no such platform. Its adjustment must be carried entirely domestically, which could mean a larger toll on real incomes and a more acute dilemma between protecting growth and defending the currency.

From price shock to policy paths – scenario implications

To anchor the discussion, Figure 5 translates the energy shock into a set of consistent macro policy scenarios. Starting from a common baseline, scenarios 2 and 3 illustrate progressively persistent energy price disruptions and the macro trade offs that they force. The message is not precision but asymmetry: higher and more volatile oil and gas prices produce non-linear inflation responses, quickly crowd out growth, and compress monetary space, especially in economies where buffers are already thin.

Figure 5: Energy price scenarios and macro-policy implications

		1Q26	2Q26	3Q26	4Q26	FY26	1Q27	2Q27	3Q27	4Q27	FY27
Brent (US$/bbl)	**Baseline**	78	96	93	88	**89**	82	79	75	72	**77**
	Scenario 2	78	110	102	100	**98**	93	89	84	80	**87**
	Scenario 3	78	135	150	120	**121**	105	100	94	90	**97**
TTF forecast (EUR/MWh)	**Baseline**	40	55	45	45	**46**	40	33	31	32	**34**
	Scenario 2	40	74	60	60	**59**	54	46	43	43	**47**
	Scenario 3	40	90	75	80	**71**	71	60	56	55	**61**
Poland	**GDP (%YoY)**	3.1	3.4	3.6	3.5	**3.4**	3.6	3.4	3.0	2.9	**3.2**
	Scenario 2	3.1	3.4	3.5	3.4	**3.3**	3.5	3.4	3.0	3.0	**3.3**
	Scenario 3	3.1	2.6	2.3	2.7	**2.7**	2.8	3.1	3.2	3.2	**3.1**
	CPI (%YoY)	2.4	3.6	3.9	4.2	**3.5**	3.8	2.9	2.5	2.4	**2.9**
	Scenario 2	2.4	4.0	4.3	4.7	**3.9**	4.2	3.0	2.6	2.4	**3.1**
	Scenario 3	2.4	4.7	6.5	6.4	**5.0**	6.1	4.1	1.9	2.1	**3.5**
	Policy rate (%)	3.75	3.75	3.75	3.75	**3.75**	3.75	3.75	3.75	3.75	**3.75**
	Scenario 2	3.75	3.75	3.75	4.25	**4.25**	4.25	4.00	3.75	3.75	**3.75**
	Scenario 3	3.75	4.50	5.50	5.50	**5.50**	5.50	5.25	4.75	4.25	**4.25**
Czech Republic	**GDP (%YoY)**	2.4	2.3	2.1	2.0	**2.2**	2.1	2.3	2.4	2.5	**2.3**
	Scenario 2	2.4	2.2	1.6	1.2	**1.9**	1.0	1.5	2.0	2.4	**1.7**
	Scenario 3	2.4	1.8	1.0	0.5	**1.4**	0.5	0.9	1.4	1.8	**1.2**
	CPI (%YoY)	1.6	2.5	2.3	2.8	**2.3**	3.3	2.5	2.5	2.4	**2.7**
	Scenario 2	1.6	2.7	2.8	3.7	**2.7**	4.4	3.1	2.4	1.9	**3.0**
	Scenario 3	1.6	3.5	3.8	4.7	**3.4**	4.9	3.6	2.9	2.4	**3.5**
	Policy rate (%)	3.50	3.50	3.50	3.50	**3.50**	3.50	3.50	3.50	3.50	**3.50**
	Scenario 2	3.50	3.50	3.50	3.75	**3.75**	3.75	3.75	3.50	3.50	**3.50**
	Scenario 3	3.50	3.50	3.75	4.00	**4.00**	4.00	4.00	3.75	3.75	**3.75**
Hungary	**GDP (%YoY)**	1.6	1.3	1.6	2.1	**1.6**	1.4	2.7	2.7	3.2	**2.5**
	Scenario 2	1.6	1.1	1.3	1.7	**1.4**	1.0	2.3	2.3	2.9	**2.1**
	Scenario 3	1.6	0.8	0.5	0.6	**0.9**	-0.3	1.1	1.4	2.2	**1.1**
	CPI (%YoY)	1.8	3.5	4.1	4.3	**3.4**	4.2	4.0	3.5	3.1	**3.7**
	Scenario 2	1.8	4.0	4.7	4.8	**4.2**	4.7	4.5	3.9	3.4	**4.1**
	Scenario 3	1.8	4.6	6.3	5.8	**5.2**	5.0	4.6	4.0	3.6	**4.3**
	Policy rate (%)	6.25	6.25	6.25	6.25	**6.25**	6.25	6.00	5.75	5.00	**5.00**
	Scenario 2	6.25	6.25	6.25	6.25	**6.25**	6.25	6.25	6.00	5.75	**5.75**
	Scenario 3	6.25	6.25	6.75	6.75	**6.75**	6.75	6.75	6.50	5.75	**5.75**
Turkey	**GDP (%YoY)**	3.5	3.2	2.8	2.6	**3.0**	2.9	3.9	4.1	5.0	**4.0**
	Scenario 2	3.5	3.0	2.5	2.3	**2.6**	2.7	3.6	3.7	4.7	**3.6**
	Scenario 3	3.5	2.6	1.8	1.5	**1.6**	2.6	3.4	3.4	4.4	**3.1**
	CPI (%YoY)	30.9	30.8	28.2	27.5	**29.6**	23.9	21.2	19.6	18.9	**21.2**
	Scenario 2	30.9	32.0	29.1	28.7	**30.2**	25.0	22.3	20.6	19.8	**21.9**
	Scenario 3	30.9	34.2	33.8	30.6	**32.4**	26.3	23.5	21.7	21.0	**23.1**
	Policy rate (%)	37.00	37.00	35.00	33.00	**33.00**	30.00	27.00	25.00	23.00	**23.00**
	Scenario 2	37.00	38.50	37.00	35.00	**35.00**	31.50	28.50	26.50	24.50	**24.50**
	Scenario 3	37.00	41.00	43.00	38.00	**38.00**	33.00	30.00	28.00	26.00	**26.00**

Source: ING

The case for shorter, smarter supply chains

Every energy shock produces an industrial policy argument. The 2026 shock makes one that is unusually compelling for CEE. Nearshoring and friendshoring were already gaining traction after the pandemic. The Hormuz disruption has added an acute logistical shock on top of the strategic arguments: the era of just-in-time globalisation, built on cheap and dependable long-distance shipping, might be over.

CEE is structurally well-placed to benefit from this reallocation. The region combines strategic geography, improved infrastructure, and a large pool of technically skilled workers. Poland and Czechia have established themselves as high-value logistics and manufacturing hubs. Hungary has leveraged its dense and well connected motorway network to strengthen its role as a regional transport and manufacturing corridor. Crucially, this physical and human capital base is being reinforced by a broader "working smart" agenda of capital deepening and automation – this was outlined in our October 2025 edition and is consistent with the nearshoring dynamics identified in our Directional Economics analysis of CEE manufacturing relocation, making the region an increasingly credible destination for the technology intensive investment that Western multinationals are reshoring.

But the energy shock of 2026 adds a sharper argument: reshoring investment goes to locations that guarantee affordable and reliable energy, not just skilled labour. Persistently high and volatile prices erode competitiveness and offset locational advantage. Regions that respond by accelerating renewable permitting, grid build-out, and energy efficiency investment will capture the next reshoring wave. Those responding with ad hoc price controls and fiscal drift may find the shock has corroded the very advantages they sought to protect. This is also why the linkage between EU funds (RRF, SAFE, Cohesion) and energy system transition matters so much; used well, these instruments are not subsidies for consumption but supply-side investments that permanently reduce the economy's sensitivity to the next oil price spike.

Cracks and crossroads – the integration question

Crises tend to expose pre existing structural weaknesses. The 2026 energy shock has intensified a debate about Europe’s economic architecture. One scenario is a genuinely two speed Europe: a core of countries with fiscal possibilities, institutional quality, and policy credibility that can absorb the shock – that could be Czechia, Poland and the broader northwest – and a periphery left financially strained, politically volatile, and structurally exposed. If EU funds primarily flow to countries most capable of absorbing them, divergence could widen rather than narrow – a risk that mirrors our previous findings that institutional quality and absorptive capacity, not income level alone, determine whether shocks accelerate or derail convergence.

The alternative is deeper integration. Joint gas purchasing under REPowerEU, SAFE's risk-sharing for defence financing, and the strategic logic of coordinated cross-border energy infrastructure all point towards a more unified European energy market. Every major external shock since the 2010-2012 debt crisis has produced additional European institutional architecture: the Banking Union, the ESM, NGEU, and SAFE. The 2026 energy shock may follow the same pattern.

For the CEE3, the result of this integration debate is crucial. The region’s core strengths – proximity to Western markets, manufacturing capacity, and access to the EU single market – are most powerful when EU institutions are most deeply integrated. A two speed Europe that places part of CEE in a secondary tier would undermine the investment story that makes the region attractive. A more integrated Europe that builds shared energy infrastructure and collective transition mechanisms enhances CEE’s locational advantage.

EU funds breakdown for CEE sovereigns

Country	Cohesion Funds (2021-27)			RRF Grants (2021-26)			RRF Loans (2021-26)			Total EU Funds		
	Expected (€)	Expected % of GDP	Disbursed (€)	Expected (€)	Expected % of GDP	Disbursed (€)	Expected (€)	Expected % of GDP	Disbursed (€)	Expected (€)	Expected % of GDP	Disbursed (€)
Czech Republic	€21.1bn	6.6%	€6.5bn	€8.4bn	2.6%	€6.5bn	€0.8bn	0.3%	€0.2bn	€30.3bn	9.4%	€13.3bn
Hungary	€21.7bn	10.5%	€4.2bn	€6.5bn	3.2%	€0.1bn	€3.9bn	1.9%	€0.8bn	€32.2bn	15.6%	€5.1bn
Poland	€75.5bn	8.9%	€18.0bn	€25.3bn	3.0%	€9.5bn	€34.5bn	4.1%	€17.4bn	€135.3bn	15.9%	€44.9bn
Bulgaria	€10.9bn	10.4%	€2.1bn	€6.2bn	5.9%	€3.3bn	€0.0bn	0.0%	€0.0bn	€17.1bn	16.3%	€5.3bn
Croatia	€8.7bn	10.1%	€2.0bn	€5.8bn	6.7%	€4.9bn	€4.4bn	5.2%	€2.4bn	€18.9bn	22.0%	€9.3bn
Slovakia	€12.6bn	9.7%	€3.1bn	€6.4bn	4.9%	€4.0bn	€0.0bn	0.0%	€0.0bn	€19.0bn	14.6%	€7.1bn

Source: EC, Eurostat, Macrobond, ING

What we make of it

The current oil shock is less a test of geopolitics and more a referendum on policy quality. What separates the countries that emerge from this shock as stronger from those that merely survive it is not geography, not luck, and not the price of oil on any given Tuesday. It is the willingness to treat a crisis as a structural mandate to modernise and increase resilience rather than a temporary inconvenience to be managed into the next electoral cycle. Energy dependence of this magnitude is not a market failure; it is a policy choice, accumulated quietly over decades and now settled loudly in a single quarter. Countries that use EU instruments to invest in supply-side adjustment (renewable capacity, grid infrastructure, energy efficiency) will emerge structurally stronger. Those that reach for the familiar comfort of untargeted budget transfers, banking on markets looking away, are running a different kind of risk.

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Poland's growth outlook: so far so good

March brought an impressive bounce-back in industrial output performance, following the winter slowdown. Construction activity also returned to growth after double digit declines in the first two months of the year. While we feared GDP growth slowed towards 3.1% YoY in 1Q, we now see it at around 3.5% but remain cautious with respect to 2026 growth

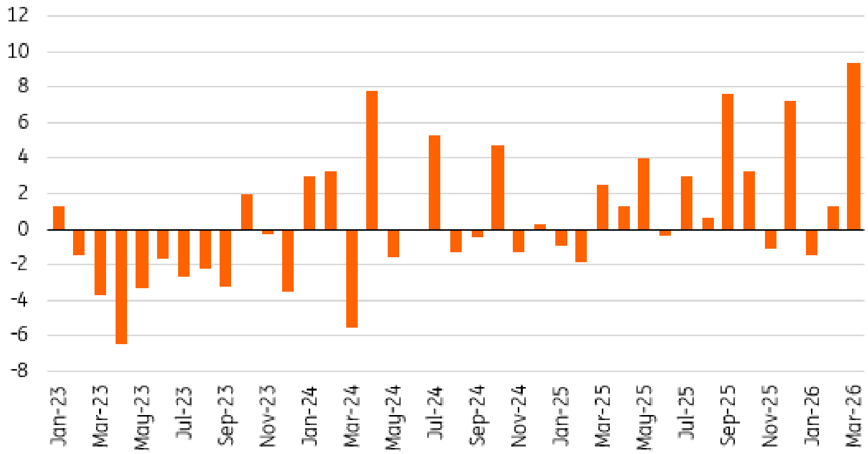
Economic activity in Poland rebounded in March as weather conditions normalised

Activity in industry and construction rebounded in March

The winter months were challenging for the Polish economy. Freezing temperatures and heavy snowfall virtually halted construction activity, resulting in double digit declines in output in January and February. The same factors weighed on the performance of industry amid disruptions in transport and supply chains, and surging electricity prices. Activity rebounded in March as weather conditions normalised. Construction output recorded positive annual growth (0.4% year-on-year), rising by 37% compared with February, while industrial production surged by a hefty 9.4% YoY. Firms in both sectors were attempting to catch up and compensate for output losses earlier in the year.

Strong rebound in industrial output in March

Industrial production, %YoY (NSA)



Source: GUS.

Slowdown in 1Q shallower than feared, but prospects remain uncertain

While January and February data suggested that annual GDP growth could slow by around one percentage point compared with the 4.1% YoY growth recorded in 4Q25, March data offered greater grounds for optimism. We currently estimate GDP growth in 1Q26 at around 3.5% YoY. Nevertheless, we remain cautious about the remainder of the year and maintain our annual growth forecast of 3.4%, as the negative consequences of the unfolding oil crisis may yet materialise.

We are also concerned that the slow unlocking of Recovery and Resilience Facility (RRF) funds – and even the slower pace of actual spending – may dampen fixed investment growth this year, shifting more investment momentum into 2027. According to official data, around 40% of RRF grants allocated to Poland have been disbursed to final beneficiaries as of February 2026, while roughly 60% of the total grant envelope has yet to be injected into the economy.

Labour market not generating inflation pressure

The March labour market report confirmed that wage pressures have eased in recent months as CPI inflation moderated towards the central bank's 2.5% target around the turn of the year. The increase in the statutory minimum wage at the beginning of 2026 was modest (3% vs. 9.2% in 2025), and public sector wage rises were similarly contained (at around 3% vs. 4.1% in the previous year). In March, the average wage and salary in the enterprise sector increased by 6.6% YoY, compared with near double digit growth in early 2025.

Surveys suggest that employers are now less willing to grant substantial pay rises, while employees' wage demands have also moderated. At the same time, employment continues to decline, falling by 9,000 jobs in March compared with February. Several sectors are adjusting to the growing competitive pressure from Asia, as well as to the reshaping of Poland's export structure and production base.

In the wake of the energy shock stemming from the military conflict in the Middle East, via higher crude oil prices and rising fuel costs, we expect CPI inflation to increase. Faster consumer price growth may erode real disposable incomes and could weigh on household consumption in the coming quarters.

National Bank of Poland likely to keep rates on hold

As labour market dynamics do not pose an upside risk to price stability, the Monetary Policy Council (MPC) is likely to focus on the structure of inflation and the direction of core inflation in response to the global energy shock. A key issue for assessing the persistence of the shock will be the degree to which higher fuel prices spill over into other goods and services, and whether second round effects begin to emerge.

Provided that current disruptions in the Persian Gulf translate into a pure supply side shock, policymakers may opt to wait and assess incoming data. We expect the main policy rate (currently 3.75%) to remain unchanged through the end of this year.

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Rates Spark: Bonds losing their edge as a hedge

Markets still see Middle East risks as contained: front-end volatility and oil sensitivity persist, but long-end inflation looks anchored. But bonds don't look like a good portfolio hedge at the moment, adding to the term premium. Meanwhile we'll be listening to Warsh for more concrete views on how to shrink the Fed bond portfolio

Bonds appear to be losing their edge versus equities as a portfolio hedge

Bonds are losing their edge against equities as a portfolio hedge

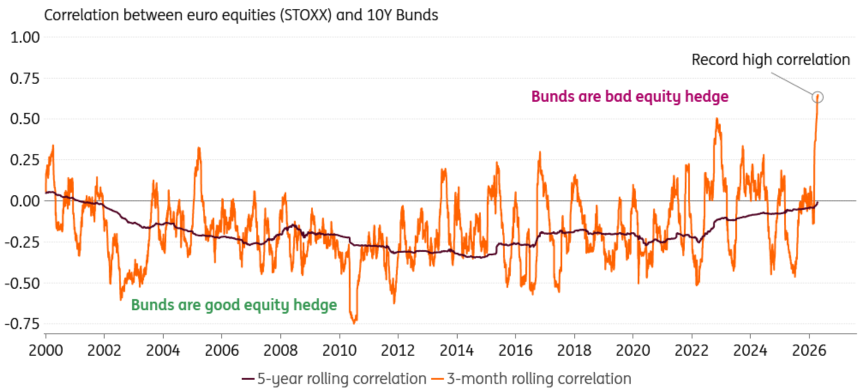
Despite a bumpy opening of markets this week, investors are still positioned for a near-term resolution of the Middle East conflict, and overnight headlines seem to offer new hope again. We'll likely see more volatility around the front end of the curve and oil moves around, but the long end still does not show signs of inflation expectations being unanchored. Also, if we look at the spread between 10Y Bunds and swaps, we don't see signs of significant risk-off sentiment.

Although one could argue that Bunds are not as obvious a hedge from a renewed escalation, given this would likely be paired with higher inflation. Besides, as long as growth concerns are contained, equities may offer a more attractive proposition. And this seems to be the view of broader markets, with the S&P 500 holding strong at less than 1% from its peak. Iran and the US have already proven a willingness to open the Strait of Hormuz and, therefore, investors can turn their focus to the more optimistic stories such as AI and still strong underlying macro data.

The unattractive value of bonds as an equity hedge can also be seen when looking at the record-high correlations between the STOXX index and Bunds. The high correlations seem to have a structural element too, with the five-year correlation now close to zero. Inflation concerns will linger, even if oil prices find their way lower, and also the impact of AI on near-term inflation remains up for debate. As such, bonds may remain unattractive from a portfolio perspective, which can keep longer-dated rates elevated even if oil were to ease lower.

Meanwhile, in the UK, markets are finding a distraction from the Middle East in domestic politics, adding to the volatility in the long end. The upward pressure on gilt yields on Monday was triggered by renewed challenges to Prime Minister Starmer's leadership. In a world where bonds are already under threat from inflation, the addition of political risk does not bode well. And markets have already singled out the UK as being more sensitive to inflation compared to the US and eurozone. For every $10 rise in Brent oil, markets are adding almost 30bp of Bank of England tightening over the next 12 months.

Bonds are less attractive as correlation with equities reaches new highs



Source: ING, Macrobond

Tuesday's events and market views

A key event to watch will be Warsh's confirmation hearing, where he will be questioned about his approach to monetary policy. Whilst getting more clarity about his dovish or hawkish tilts will be unlikely, we will be closely listening for any hints about Warsh's intentions with the Fed balance sheet. We know he wants to reduce the bond portfolio, but we still lack the details on how that would be done. Given the big implications this could have on global term premiums, even subtle signs could be market-moving.

We will get the ZEW survey outcomes for April, whereby consensus expects a material deterioration in both Germany's expectations and current situation measures. From the US, the highlight will be retail sales for March, which should capture the first impact of higher energy costs.

For issuance, we have the UK with a £5bn 3Y gilt auction and Germany will auction 2Y Schatz for €6bn. From Finland, we have 3Y and 19Y RFGBs totalling €1.5bn.

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Disclaimer

FX Daily: Dollar to weigh up Warsh

Risk assets are mildly bid on the view that the Iranians will send a delegation to peace talks in Pakistan today. Away from geopolitics, today's highlight will be Kevin Warsh's confirmation hearing in the Senate. Some of the discussion could get a little technical on the topic of balance sheet reduction, but the dollar probably faces some downside risks

The dollar probably faces some downside risks from Kevin Warsh's confirmation hearing today

USD: Warsh to steepen the yield curve

Investors continue to take a bullish view of events. Although not confirmed, Iranian negotiators are expected to travel to Pakistan to engage in peace talks with the US later today or early tomorrow. As is his way, President Trump continues to threaten a binary outcome – deal or destruction – after tomorrow's ceasefire expires. For the time being, the market seems happy to sit pro-risk on the view that the ceasefire will at least be extended. Also buoying equities has been the shift back to the tech story. Positive news came out of Asia overnight with EQT AB raising $16bn, the largest pool ever, for a private equity Asia fund, and semiconductor exports from Korea maintaining heady export growth rates at 50% YoY.

Amid this pro-risk, soft dollar backdrop, Kevin Warsh appears in front of the Senate at 1600CET today. My colleagues James Knightley and Padhraic Garvey preview that hearing here. The consensus view in markets is that Warsh will be dovish on the policy rate and hawkish on the Fed's balance sheet. The balance sheet discussion could get a bit technical in the form of the choice of reduction (roll-offs or active sales), which securities (Treasuries or Mortgage Backed Securities) and whether the resulting decline in surplus liquidity could trigger another 2019-like crisis in the repo market. Investors expect a steeper curve from all this.

Barring comments on the Fed's balance sheet that unnerve the long-end of the Treasury and risk assets, Warsh's comments on the policy rate will probably be a bigger driver of the dollar. With oil prices and short-term inflation expectations high at the moment, comments which see short-dated swap rates and real rates come lower will be dollar negative. We doubt moves will be large, however, because unless the Department of Justice drops its investigation into the Fed's reconstruction project, Republican Senator Thom Tillis will still prevent the Warsh nomination from proceeding to a full vote in the Senate.

Away from politics, the US data calendar sees the release of the March retail sales numbers and the ADP weekly employment release. If the Fed's Beige Book is to be believed, neither retail sales nor employment fell off a cliff in March – but any surprise weakness would add to the dollar's downside.

DXY could drift towards the 97.50/60 area on today's agenda.

Chris Turner

EUR: Foreigners like eurozone assets

Last week's Balance of Payments figures released by the ECB showed continued strong foreign buying of eurozone asset markets in February. Combining both purchases of equities and debt, foreigners had already bought EUR280bn of eurozone assets in the first two months of this year. So while US TIC data does not show any outright sales of US long-term assets, the strong demand for eurozone assets suggests that, at the margin, the euro could be benefiting from new funds being put to work.

On the calendar today is the German ZEW investor survey and a variety of ECB speakers this morning. ECB President Christine Lagarde has made the ECB's position pretty clear. However, more data is required. The market now sees very little chance of an ECB hike later this month but a 68% chance of a hike in June. We expect the ECB to deliver a June hike to impress its inflation-fighting credibility on markets.

EUR/USD is trading in a tight 1.1750-1.1800 range, but could move to 1.1850 if Kevin Warsh says something dovish.

Chris Turner

GBP: Shaking off local politics so far

Despite UK Gilts underperforming yesterday – presumably on the view that there may be a change in the Labour leadership – sterling has held up reasonably well. Today's big drop in the February unemployment rate probably overstates the health of the UK labour market – inactivity rose, so sterling does not need to trade a lot stronger on this.

Today's focus will be on the morning testimony from the top civil servant who was sacked over failing to disclose the results of the Mandelson vetting process. However, the Polymarket betting site only gives a 39% probability of PM Starmer leaving office by June (65% by December) and is perhaps one reason why sterling is not selling off more.

Expect EUR/GBP to find ongoing support in the 0.8685/8700 area.

Chris Turner

ILS: The shekel is incredibly strong

The Israeli shekel has been one of the strongest performing currencies since the start of the crisis – appreciating 5% against the dollar. What is driving that strength remains unclear, although Israeli tech capital raising has often been blamed for that strength in the past. Historically, the Bank of Israel has been one of the most interventionist central banks out there and had intervened heavily to prevent a much stronger shekel. Yet the White House's focus on currency manipulation may have discouraged the BoI's FX intervention activity this year.

However, the shekel is now incredibly strong. The trade-weighted, inflation-adjusted shekel is at an all-time high. If the BoI cannot intervene in FX, then rate cuts can take the pressure off the shekel. That is why the market now prices 100bp of BoI easing over the next six months. But bottom line, we doubt the BoI will tolerate sustained shekel gains from here, and we forecast USD/ILS to head back to the 3.00-3.20 area later this year.

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The Commodities Feed: Peace talk optimism clouds reality

Oil price action in early morning trading today reflects hopes of progress in scheduled peace talks between the US and Iran, Too much hope, perhaps

Energy- Oil trading on hopes rather than reality

While energy markets popped higher yesterday following Iran's decision to reverse its opening of the Strait of Hormuz, they're still trading in a manner which suggests optimism over US-Iran talks. The aim, of course, is to establish a viable off-ramp that enables energy flows through the Strait of Hormuz to resume on a sustained, long-term basis. But we believe markets are underpricing the ongoing supply disruption. Optimism appears to be clouding the reality of the supply shock.

Negotiations between the US and Iran are set to resume in Pakistan, with US Vice President JD Vance set to attend. It appears Iran will send a delegation too. This follows earlier suggestions that Iran wouldn't attend as long as the US blockade continues. These talks are important, with the current ceasefire set to end on Wednesday. President Trump has suggested he is unlikely to extend the ceasefire. Therefore, a lack of progress would likely push oil and gas prices higher. This would create significant uncertainty over when energy flows through the Strait of Hormuz might return to normal.

The longer these supply disruptions persist, the tighter the oil market becomes, leaving a longer path towards normalisation for markets once hostilities end. Energy flows will take time to recover. Upstream production will also take time. We also need to see restocking globally following significant stock drawdowns. Taking these factors into account—along with the likelihood that any US–Iran agreement would remain fragile—it appears that while oil prices would face downside pressure, the market's floor for the rest of the year is considerably higher than it was before the war.

The European gas market is also becoming more optimistic about the prospect of a peace deal. TTF is currently trading below EUR40/MWh. These are basically the levels we saw in late January amid the deep freeze across the US, when there was plenty of concern over US LNG export supply. The current disruption in Persian Gulf LNG supplies is clearly more impactful for the market, yet prices don't appear to fully reflect this.

For the European gas market, LNG send-outs remain seasonally strong, while gas storage has broken back above 30% full. This will offer some comfort to the market. Moreover, global gas demand is set to weaken, with the power sector switching from gas to coal, easing some of the upward pressure on prices. In terms of LNG supply, the market is tight. Golden Pass LNG in the US is set to imminently load its first LNG cargo from train 1, but with this train having an annual capacity of around 6 mtpa, it is far short of the 77 mtpa of Qatari LNG capacity currently disrupted.

Metals – Gold softer on renewed inflation concerns

Gold started the week on a weaker footing as higher oil and gas prices reignited inflation concerns. Ongoing disruptions risk around the Strait of Hormuz are keeping energy markets supported, reinforcing inflation expectations and acting as a near-term headwind for gold.

We see this capping upside in the short term, though downside risks appear limited. Elevated geopolitical tensions and continued uncertainty around Hormuz should underpin haven demand.

Attention now shifts to Tuesday's US Senate confirmation hearing for Kevin Warsh, nominee to chair the Federal Reserve. Any hawkish signals could add further pressure on gold. While gold prices have recovered some conflict-driven losses, gold still trades around 8% below pre-conflict levels following earlier liquidity-driven selling.

Near-term price action is likely to remain volatile amid shifting expectations around central bank policy, real yields and persistent geopolitical uncertainty.

In other precious metals, China's silver imports surged to a record high in March, boosted by demand from retail investors and the solar sector. Imports rose to around 836 tonnes, according to Chinese customs data, well above the 10 year March average of roughly 306 tonnes. Earlier in the year, strong domestic demand pushed Chinese silver prices to a premium over international markets, triggering arbitrage flows. Silver prices have since then pulled back from their January record highs, while retail momentum has softened.

In base metals, copper edged lower after recent gains, but continues to trade near two-month highs, while macro headwinds are slowing down momentu**m.** Higher energy prices and sticky inflation risk keeping monetary policy tighter for longer, weighing on the industrial metals demand outlook.

Aluminium prices remain supported by ongoing supply disruptions in the Middle East. Production in Gulf countries dropped 6% to 15,963 tonnes a day in March, according to data from the

International Aluminium Institute.

Agriculture– India allows further wheat exports

India has approved an additional 2.5mt of wheat exports, according to the Ministry of Consumer Affairs and Food. The aim is to support farm incomes, manage domestic inventories, and limit distress sales during the peak marketing season. This raises total permitted wheat exports to 5mt in the current year. Meanwhile, wheat acreage is expected to increase by 2% year-on-year to 33.42m hectares, despite fertiliser supply constraints. Wheat production for 2026 is projected at 120.2mt.

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Kevin Warsh’s Fed confirmation faces tough tests

Kevin Warsh's confirmation hearing to be the next Fed Chair will see him having to tread a fine line between making the case for lower borrowing costs, which helped him get the nomination from the President, and preserving the Fed's inflation-fighting credentials. Politics and the DoJ case against the Fed mean a swift confirmation is unlikely

At his confirmation hearings, Kevin Warsh will have to balance calls for lower borrowing costs and the inflation-fighting credentials of the Federal Reserve

Kevin Warsh's challenge - the President & market credibility

The Federal Reserve has entered its quiet period ahead of the 29 April FOMC meeting, but it will still be drawing headlines given Kevin Warsh's confirmation hearing to become Federal Reserve Chair is being held tomorrow. Once viewed as a hawk when he previously served as a Fed Governor (February 2006-March 2011), he has been nominated by President Trump, who has demanded much lower interest rates from current incumbent, Jerome Powell.

Warsh will inevitably be questioned on how closely aligned he is with the President's thinking. We imagine he will indicate a belief that, over time, lower interest rates make sense. However, preserving market credibility is of paramount importance and there must be justification.

The Iran conflict-induced jump in motor fuel costs creates near-term challenges in an environment where both core and headline consumer price inflation have exceeded the 2% target throughout the past five years. He will be wary of coming across as too dovish. That could heighten market fears of potential unanchored market inflation expectations, prompting higher long-term borrowing costs.

Treasury Secretary Scott Bessent has emphasised that, in his view, the most important metric is the 10Y Treasury yield given its benchmark role and the impact it has on mortgage rates and corporate borrowing costs. He appears to be onboard with a delay to rate cuts, based on recent media comments, but the President is probably not going to be so keen. Nonetheless, if there is a swift conclusion to the conflict and fuel prices drop sharply, Warsh will strongly suggest there is the possibility of his support for rate cuts later this year.

Structurally speaking, Kevin Warsh will emphasise the opportunity for lower borrowing costs over the medium to longer term. He clearly buys into the idea that tech/AI investment will boost productivity and allow the US to grow faster without generating inflation. To be fair, there appears to be support for this view within the broader Fed, given that within the March forecast update, officials revised higher their long-run GDP forecast to 2% from 1.8%, without altering the long-term inflation prediction. The minutes suggested that “several participants... expected higher productivity growth, associated with technological or deregulatory developments, to put downward pressure on inflation."

The Fed’s balance sheet

In addition to the productivity narrative, Kevin Warsh has another theory. Every US$1tn of Fed bond holdings equates to 50bp on the policy rate (approximately). In consequence, balance sheet contraction, through bond roll-offs or outright selling, facilitates rate cuts. This is convenient, as Warsh also believes that the Fed continues to own too many bonds. The build of bond buying was a consequence of past crises, and now that they are no more, much of the bonds should be off-loaded. He’s not been specific about sizes, but said that they should be significantly reduced. And he’s identified Mortgage-Backed Securities (MBS) as a particular eye-sore that should be liquidated. And finally, he’s advocated mostly a passive run-off, cognisant of market de-stabilisation risks.

Consider two scenarios. One is a reduction in the balance sheet right back to pre-Global Financial Crisis levels (5.5% of GDP). That would require some US$4.5tn in bond liquidations. That’s unlikely, but we do develop that narrative here. More probable is a targeted sale of the US$2tn of MBS holdings. This is currently rolling off at a slow trickle, as it's primarily long in duration. But it could be subject to outright sales. It could be softened by extra T-bills buying, to prevent repo market disruption.

The issue here, however, is the impact on bank reserves. Bank reserves sit on the Fed’s balance sheet, and are remunerated by the rate the Fed pays on reserves. They are there as an echo of the prior bond buying undertaken by the Fed (effectively the other side of the Fed’s balance sheet). In 2019 and again through the second half of 2025, we saw repo market tightness occur as bank reserves fell to critical levels. For no particular reason, circa 10% of GDP is a level below which tightness has tended to kick in.

Kevin Warsh has suggested identification of a target for bank reserves, and keeping to that. He’s not been specific as to what that level should be. The unwritten level today is US$3tn. That’s sitting alongside Fed bond holdings of US$6.3tn. Simplistically, if the Fed’s balance sheet was shrunk by

US$2tn, bank reserves could be pressured down to around US$2-2.5tn. In today's setup, that would cause repo issues.

The simple solution would be to offset MBS sales with T-bills buying. Not technically QE (as bills buying is short in maturity and, in a sense, akin to open market operations), but would still leave the balance sheet bloated with government securities. Warsh needs a plan to deal with this. We'll be listening for more as he testifies, albeit perhaps a bit deep in the weeds for a Senate hearing. It is *really* important though. Apart from repo issues, MBS selling with a view to cutting rates, points to a steeper curve from both ends.

Chair Powell could continue beyond 15 May

Whether Kevin Warsh will be approved quickly is another matter given the Department of Justice's probe into Fed construction work overspending. The Senate Banking Committee consists of 13 Republicans and 11 Democrats, but Republican Thom Tillis has vowed to block the confirmation until the "vindictive prosecution" of Chair Powell is ended. Until Thom Tillis is satisfied, it will be a 12-12 vote, and it can't proceed to a formal Senate vote.

Jerome Powell's term as Fed Chair notionally ends on 15 May, but until Warsh is approved, Powell will stay in the role with his term as Governor scheduled to continue until 31 January 2028. As such, tensions between the Fed and the President are likely to remain elevated, but with strong rules of governance, we think the Fed's independence is not in doubt

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THINK Ahead: From ‘loads of money’ to no cash to splash

Harry Enfield’s ‘Loadsamoney’ mocked 80s yuppie excess; his catchphrase rang out across the UK. Today, there’s no cash to splash, and not just in Britain... high household savings ratios will struggle to spare Europe from an energy-led slowdown.

Plus, the confirmation hearing of Fed Chair nominee Kevin Warsh. All to look forward to next week

The cultural phenomenon, 'Loadsamoney', played by Harry Enfield in the 80s

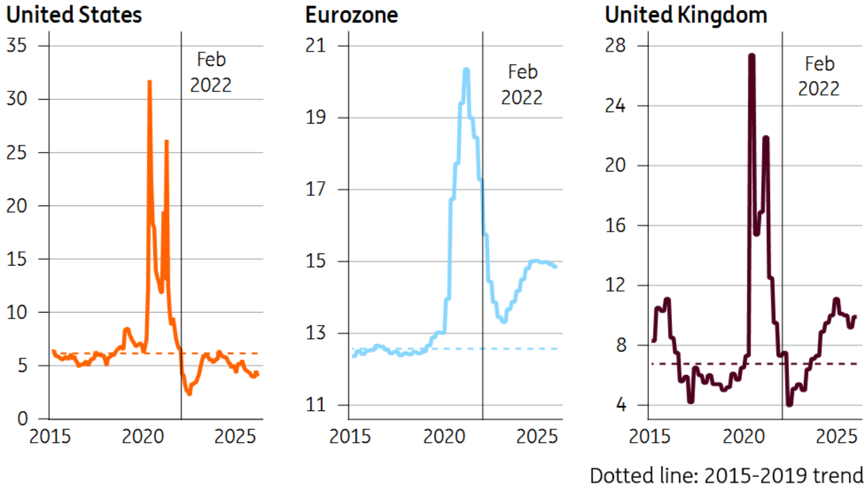
No cash to splash

Plenty of ink has been spilt on how this crisis differs from the 2022 energy shock. And mostly, not in a good way.Cooler job markets, less government stimulus, and tighter monetary policy all make the economy more vulnerable. And that means inflation is less likely to take hold in the long term.

But there’s one area that looks more positive: European savings.

The savings ratio - the proportion of income not spent on goods and services – has been consistently above its pre-Covid average. Admittedly, not in the US. But in the eurozone, where this energy shock will be felt more acutely, it’s comparable to levels in February 2022. And in the UK, it is considerably higher (or is it? More on that later...).

Household savings ratios are above-average in Europe



Source: Macrobond, ING

That matters because, at face value, it offers households a cushion against higher energy prices. Real incomes are set to fall as inflation heads to 4% and wage growth languishes at 2.5% in the eurozone and 3.5% in the UK. Even if you're an optimist and think wages will rise with prices (we don't!), this will take time. Continental Europe's system of collective bargaining means pay responds with a lag while new settlements are negotiated.

So, if disposable incomes are down, then that savings ratio is going to have to fall if a consumer-led recession is to be prevented. The fact that the savings ratio comes from a higher starting point should offer more scope for that to happen.

And we do indeed expect it to fall, at least temporarily. It's what we saw back in 2022 as households engage in what we economists call "consumption smoothing". Cut savings in the bad times, rebuild them in the good. That might help explain that savings ratio trend over the past few years.

However, I think there are a number of holes in this story:

For starters, are households really going to be willing to part with their cash at a time of such uncertainty, to the extent that saving is a choice? It feels unlikely. My colleague Peter Vanden Houte points to the March uptick in eurozone unemployment expectations as one reason for caution.

And is the savings ratio really a reliable measure in the first place? I've always been a bit sceptical because frankly, it isn't actually measured at all.

Put simply, it's the gap between a broad definition of income after taxes and household consumption. That sounds sensible enough, until you remember both of those numbers are calculated independently of one another, using different data sources and in complex methods. And because "savings" here is simply a residual between two very large numbers, it is subject to often huge revisions if one or both of those figures are updated.

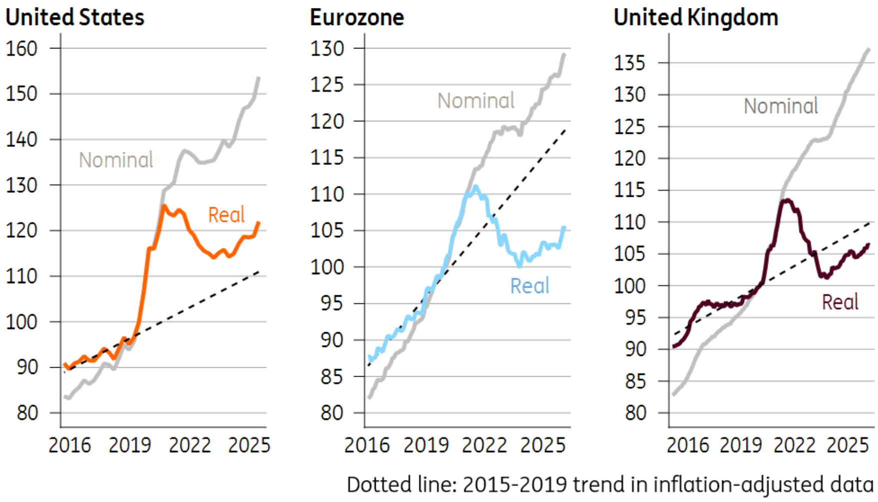
Case in point: when the data first came out, it showed Britain's savings ratio at 9% as of Q3 2022.

Data for that very same period has since been revised down to 5%. Pretty different, wouldn't you say?

The good news is we have a much better way of measuring all this. Central banks provide data on actual money in actual real-life bank accounts. The bad news? No big war chest of cash waiting to be splashed...

Adjusted for inflation, the stock of savings sat in European banks is below the pre-Covid trend on both sides of the channel. Likewise, if you look at deposits as a ratio of household disposable incomes. That's a stark contrast with early 2022, where economies were still lavishing in huge pools of "excess savings" – money squirrelled away when there was nothing to spend it on during the pandemic.

Nominal vs. real household deposits



Source: Macrobond, ING

Real data deflated by CPI (HICP for Eurozone). US series includes checkable deposits/currency, time and savings deposits and money market fund shares. Eurozone is household M3 deposit data. UK is household M4 deposits.

Then there's the impact of higher interest rates. The textbooks tell us that they should incentivise saving. Sure enough, eurozone data shows flows into deposit accounts with a fixed maturity nearly perfectly offset outflows from those paying overnight rates back in 2022.

But the textbook has also changed over the past two decades. Savers benefit quickly from higher deposit rates, while mortgage rates, typically fixed well into the future, take much longer to respond. That blunts the negative cash flow impact of tighter monetary policy, at least initially. And let's face it, the ECB rate hike we're now forecasting isn't going to move the needle much anyway.

Finally, we have to remember that the bulk of savings is held by the wealthiest and, therefore, least affected by the cost-of-living crunch. James Knightley points to Fed data, indicating the top 20% of earners hold 70% of savings (or specifically "other assets", most of which are deposits). Our own European survey shows almost a quarter of households have no savings at all.

All of this matters for the central banks. If the data is right that households don't have a big wadge of cash under the proverbial mattress – and those that do will be reluctant to spend it – then that's hardly good news for growth. And it's yet another reason to tread carefully when it comes to hiking interest rates.

James Smith

Three scenarios for energy markets

We've refreshed our three scenarios for the Iran crisis and energy markets as part of the ING Monthly published this week. Check out this article for more on what these scenarios mean for the economy and markets.

	Length of disruption (% disruption to Strait of Hormuz flows)						Oil supply lost (m barrels)	Brent forecast (USD/bbl)			Gas supply lost (bcm)	TTF forecast (EUR/MWh)		
	Mar	Apr	May	Jun	Jul	Aug		Q2	Q3	Q4		Q2	Q3	Q4
ING base 1	100	60	30	15	10	10	1138	96	93	88	28	55	45	45
Prolonged disruption 2	100	100	50	40	20	20	1754	110	102	100	38	74	60	60
Re-escalation 3	100	100	100	100	50	50	3635	135	150	120	58	90	75	80

Source: ING

THINK Ahead in developed markets

United States (James Knightley)

- In a relatively quiet week for data, the focus will remain on US-Iran talks in the hope a deal can be reached that leads to a de-escalation and a re-opening of the Straits of Hormuz. Failure will undoubtedly hit risk assets and prompt a rebound in the dollar as markets price the prospect of higher for longer inflation, weaker growth and the Federal Reserve constrained from cutting interest rates.
- Outside of the data, the Fed has already entered its quiet period ahead of the April 29 FOMC meeting, but it will still be drawing headlines given Kevin Warsh's confirmation hearing to become Federal Reserve Chair is being held on April 21st. Once viewed as a hawk when he previously served as a Fed Governor, he has been nominated by President Trump who has demanded much lower interest rates from current incumbent, Jerome Powell. He will inevitably be questioned on how closely aligned he is with the President's thinking. We imagine he will indicate a belief that, over time, lower interest rates make sense. However, preserving market credibility is of paramount importance and there has to be justification.
- He clearly buys into the idea that tech/AI investment will boost productivity and allow the US to grow faster without generating inflation, and, to be fair, there appears to be support for this view within the broader Fed given at the March forecast update they revised higher their long-run GDP forecast to 2% from 1.8%, without altering the long-term inflation prediction. Whether he will be approved quickly is another matter, given the Department of Justice's probe into Fed construction work overspends. The Senate Banking Committee is comprised of 13 Republicans and 11 Democrats, but Republican Thom Tillis has vowed to block the confirmation until the "vindictive prosecution" of Chair Powell is ended. Until Thom

Tillis is satisfied, it will be a 12-12 vote, and it can't proceed to a formal Senate vote.
- In terms of the numbers to watch, March retail sales will be the highlight. We saw a decent increase in unit auto sales in March following weather depressed activity in the first two months of the year, but it will be the higher gasoline price that will really lift the value of sales. Given this situation, we should focus on the core "control" measure that strips out autos, gasoline, building materials and eating out. This tends to better reflect underlying spending trends and a 0.2%MoM gain would fail to keep pace with inflation. This will mean a third consecutive month of weakness in consumer demand in an environment of depressed sentiment and squeezed spending power.

United Kingdom (James Smith)

- **Jobs/wages (Tue):** Private-sector wage growth is set to continue falling as a fragile jobs market bears down on pay pressure. This is one of the key arguments against rate hikes from the Bank of England
- **Inflation (Wed):** Predictably, headline inflation is set to nudge higher as the early impacts of the Iran war shine through. Higher petrol and heating oil prices look set to lift headline CPI to 3.3%. It won't be until July when the full effects are felt via the next update in the household energy price cap.

THINK Ahead in Central and Eastern Europe

Poland (Adam Antoniak)

- **Mar industry** (Mon): We forecast that industrial activity returned to its subdued normal in March, and posted just a slight annual growth despite favourable calendar effects (one more working day). Purchasing managers report soft external demand (poor export orders) and a spike in input prices, most likely linked to the energy crisis triggered by the Middle East conflict. We are likely to see it in PPI numbers as well, and a decline in producers' prices was probably much shallower last month as prices in refining products soared.
- **Mar labour market** (Mon): Wages growth eased visibly at the beginning of 2026 amid a lower increase in the statutory minimum wage and less generous hikes in the public sector. Lack of inflationary pressure (apart from unfolding energy shock) curbs wage demand. We expect wage dynamics to converge towards levels consistent CPI at the target. (4-5%). Employment in enterprises remains in decline as some industries face mounting pressure from cheap Chinese imports, and the structure of industrial production and exports is shifting in response to the fact that Poland has become a hub for Asian imports.
- **Mar retail** (Mon): Consumer demand remains robust and is the main driver of economic growth. The mid-term trend in rising sales of durable goods remains sustained, but recent deterioration in consumer confidence, linked to elevated geopolitical uncertainty (Middle East conflict), may potentially undermine the propensity to spend over the medium term. Still, we forecast that sales in March were strong, even as purchases of petroleum products probably eased towards the end of the month as the government announced measures targeted at reducing gasoline and diesel prices from the beginning of April (maximum price, reductions in excise duty and VAT rate).

Czech Republic (David Havrlant)

- **PPI** (Mon): Producer prices reflected the surge in oil prices throughout March yet likely remained in an annual decline. Demand from European main trading partners remains lukewarm and puts pressure on margins, so that businesses maintain their price competitiveness, notably in the environment of dumping imports from China. April's business and consumer sentiment suffered from the havoc in the Middle East, nevertheless both remained relatively upbeat in levels. An increasing unemployment rate may further weigh on consumer sentiment, while the duration of the conflict will shape business mood in line with the assumed damage to the global economy.

Turkey (Muhammet Mercan)

- **Rate decision** (Wed): The CBT has reiterated in February its commitment to tightening monetary conditions in the event of a marked deterioration in the inflation outlook. In line with this stance, it suspended one week repo auctions and allowed the ON rate to rise toward the upper limit of the interest rate corridor following the escalation of the US Iran conflict. The subsequent ceasefire, however, brought temporary relief in early April. Losses in the CBT's foreign exchange reserves have come to a halt, while preliminary data point to an improvement supported by the Bank's FX swap operations with domestic banks and some reversal in capital flows.
- Against this backdrop, we expect that the CBT will leave both the policy rate and the corridor framework unchanged at the April MPC meeting. Nonetheless, ongoing geopolitical uncertainty may encourage a more cautious approach, potentially leading to an adjustment of the policy rate from 37% toward the current effective funding rate of approximately 40%.

Kazakhstan (Dmitry Dolgin)

- **Rate decision** (Fri): We expect the National Bank of Kazakhstan (NBK) to keep the base rate unchanged at its 24 April meeting. Recent trends, including a slowdown in CPI to 11.0% YoY in March and a roughly 5% appreciation of the KZT against the USD since the outbreak of the Iran war, suggest some scope for rate cuts over the medium term. For now, however, elevated uncertainty around a potential global inflation shock and higher risk premia argue for caution. In our view, holding rates steady carries a lower risk of a policy mistake than an early cut.
- We have slightly revised up our CPI outlook for the CIS 4, effectively flattening the expected path of policy easing across the region. For Kazakhstan, arguments against an immediate cut include risk of additional domestic utility tariff hikes and quasi fiscal stimulus, both highlighted in the NBK's previous communication. Strong economic activity and robust bank lending dynamics also suggest there is no urgency to ease policy at this stage.

Key events in developed markets next week

Country	Time	Data/event	ING	Prev.
		Monday 20 April		
Canada	1330	Mar CPI (MoM%/YoY%)	1.0/2.5	0.5/1.8
	1330	Mar Core CPI (YoY%)	2.4	0.4/2.3
		Tuesday 21 April		
US	1330	Mar Retail Sales (MoM%)	1.6	0.6
UK	0700	Feb ILO Unemployment Rate	5.2	5.2
	0700	Feb Employment Change (000s)	30	84
	0700	Feb Average Weekly Earnings (3M YoY%)	3.5	3.8
	0700	Feb Average Weekly Earnings ex Bonus (3M YoY%)	3.5	3.8
		Wednesday 22 April		
Eurozone	1500	Apr Consumer Confidence Flash	-	-16.3
UK	0700	Mar Core CPI (YoY%)	3.2	3.2
	0700	Mar CPI (MoM%/YoY%)	0.6/3.3	0.4/3.0
	0700	Mar Services CPI (YoY%)	4.4	4.3
Sweden	0700	Mar Unemployment Rate	-	8.8
		Thursday 23 April		
US	1330	Initial Jobless Claims (000s)	210	207
	1445	Apr S&P Global Manufacturing PMI Flash	-	52.3
	1445	Apr S&P Global Services PMI Flash	-	49.8
	1445	Apr S&P Global Composite PMI Flash	-	50.3
Eurozone	0900	Apr HCOB Manufacturing PMI Flash	-	51.6
	0900	Apr HCOB Services PMI Flash	-	50.2
	0900	Apr HCOB Composite PMI Flash	-	50.7
Germany	0830	Apr HCOB Manufacturing PMI Flash	-	52.2
	0830	Apr HCOB Service PMI Flash	-	50.9
	0830	Apr HCOB Composite PMI Flash	-	51.9
France	0815	Apr HCOB Composite PMI Flash	-	48.8
UK	0930	Apr S&P Global Composite PMI Flash	50.0	50.3
	0930	Apr S&P Global Manufacturing PMI Flash	50.5	51
	0930	Apr S&P Global Services PMI Flash	50.0	50.5
		Friday 24 April		
US	1500	Apr Michigan Sentiment Final	48	47.6
Germany	0900	Apr Ifo Business Climate	-	86.4
	0900	Apr Ifo Current Conditions	-	86.7
	0900	Apr Ifo Expectations	-	86
UK	0700	Mar Retail Sales (MoM%/YoY%)	-/-	-0.4/2.5
Canada	1330	Mar Retail Sales (MoM%)	0.8	1.1

Key events in EMEA next week

Country	Time (BST)	Data/event	ING	Prev.
		Monday 20 April		
Czech Rep	0800	Mar PPI (MoM%/YoY%)	1.4/-1.1	0.1/-2.9
		Tuesday 21 April		
Poland	0830	Mar Employment Growth (YoY%)	-0.8	-0.8
	0830	Mar Industrial Output (YoY%)	0.9	1.5
	0830	Mar PPI (YoY%)	-0.3	-2.3
	0830	Mar Wages (YoY%)	6	6.1
Turkey	0800	Apr Business Confidence	-	101
		Wednesday 22 April		
Russia	1700	Mar Industrial Output	0.9	-0.9
	1700	Mar PPI (MoM%/YoY%)	-/-	0.5/-5.2
Turkey	1200	Apr CBT Weekly Repo Rate	37.00	37.00
	1200	Apr Overnight Lending Rate	40.00	40.00
	1200	Apr Overnight Borrowing Rate	35.50	35.50
		Thursday 23 April		
Poland	0830	Mar Retail Sales (YoY%)	5.2	5
	0830	Apr Consumer Confidence	-	-12.2
	1300	Mar Money Supply (YoY%)	10.9	10.6
		Friday 24 April		
Russia	1130	Apr Central Bank Key Rate	14.50	15.00
Poland	0830	Mar Unemployment Rate	6	6.1
Czech Rep	0800	Apr Consumer Confidence	105.2	110.4
	0800	Apr Business Confidence	98.8	100.4
	0800	Apr Composite Confidence	99.9	102.1
Hungary	0730	Mar Unemployment Rate	4.9	4.9
Kazakhstan	0000	Apr Interest Rate Decision	18.00	18.00

Source: Refinitiv, ING forecasts

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Carsten: What the Middle East war means for the economy right now

Higher oil prices, higher inflation, lower growth. It's a depressing snapshot of what's in store for the global economy as the war in the Middle East continues. Here's Carsten Brzeski's take on where we are right now.

Our global team gives its detailed perspective in our latest ING Monthly. Read it here

What the Middle East war means for the global economy right now

The war in the Middle East is starting to have serious consequences for economies around the world. We're not yet predicting a recession, but it's going to hammer growth and increase inflation. Carsten Brzeski says accurately predicting what's going to happen next, however, is a fool's game

Watch video

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Three scenarios for energy, central banks, rates and FX markets

How a prolonged disruption to Middle East energy flows could affect inflation, interest rates and currencies

With the world in flux, certainty is a rare commodity

Three scenarios for energy prices

	Length of disruption (% disruption to Strait of Hormuz flows)						Oil supply lost (m barrels)	Brent forecast (USD/bbl)			Gas supply lost (bcm)	TTF forecast (EUR/MWh)		
	Mar	Apr	May	Jun	Jul	Aug		Q2	Q3	Q4		Q2	Q3	Q4
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Prolonged disruption 2	100	100	50	40	20	20	1754	110	102	100	38	74	60	60
Re-escalation 3	100	100	100	100	50	50	3635	135	150	120	58	90	75	80

Source: ING

Energy markets

Financial markets are taking a glass-half-full view on the Middle East crisis amid the ongoing ceasefire and reports of another round of negotiations between the US and Iran. But there are still plenty of ways this situation could play out.

In our refreshed base case, we're assuming that talks drag on, prompting renewed US pressure.

The American blockade of the Strait of Hormuz is a good example of this. But despite ongoing disruption, a deal is ultimately reached that enables more traffic to flow through the Strait as we head into summer. Our new forecasts are based on energy flows returning to 70% of normal through May and 90% by July. Remember that damage to energy infrastructure will hamper efforts to return fully to normal.

This scenario would see Brent Crude trading between US$90-100/bbl in the second and third quarters. TTF natural gas averages 55 EUR/MWh in the second quarter.

Alternatively, a scenario where prolonged disruption means flows return to only 60% of normal by the end of June, takes oil prices back above US$100/bbl and keeps them there for the remainder of 2026. Natural gas prices show further upside, too.

A more extreme situation, where talks collapse and a sustained military escalation ensues, keeps the Strait of Hormuz closed until the end of June, with only a steady recovery thereafter. Oil prices go as high as US$150/bbl in the third quarter.

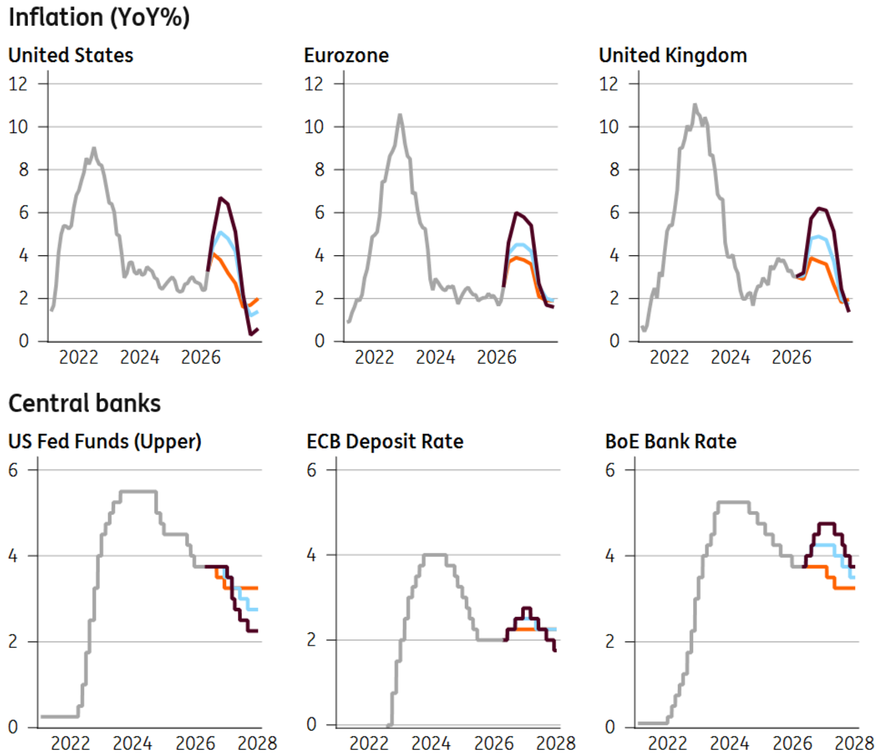
Central banks

Our new base case sees the European Central Bank hiking rates in June, though for now we think that's a one-off. While the threat of second-round effects on inflation is considerably less than in 2022, we think headline inflation at 4%, core inflation rising towards 3% and the optics of survey-based inflation expectations metrics surging, will tempt Frankfurt into some very limited tightening. The fact that we're assuming a material improvement in flows through the Strait of Hormuz by the time of the June meeting should prevent that from turning into a more aggressive tightening cycle.

That changes if the disruption lasts longer and prices spike higher. The supply chain impact will become more unpredictable and widespread. And as the central banks have highlighted, the secondary impact on inflation risks snowballing. Our most extreme scenario sees US, eurozone and UK inflation peaking at or above 6% this year. If that happens, we'd expect multiple ECB hikes, though we also think it would be swiftly reversed through 2027 as the inflation threat recedes.

In contrast, we don't expect rate hikes from the Fed in any of our scenarios, although an interest rate hike can't be ruled out if energy prices rise above our base case. This is a far narrower supply shock for the US than 2021/22 and there isn't the same demand impetus. Over the medium term, we think higher transport fuel prices are more likely to weaken growth and employment rather than lead to persistently higher inflation. So while our more adverse scenarios delay the timing of the next cut as the Fed weighs up the risk of second-round effects, ultimately we think the higher energy prices go, the deeper the rate cut cycle that eventually follows. As Middle East tensions subside and energy prices drop, we expect officials to increasingly focus on the jobs aspect of its dual mandate.

Three scenarios for central banks and inflation



Source: Macrobond, ING

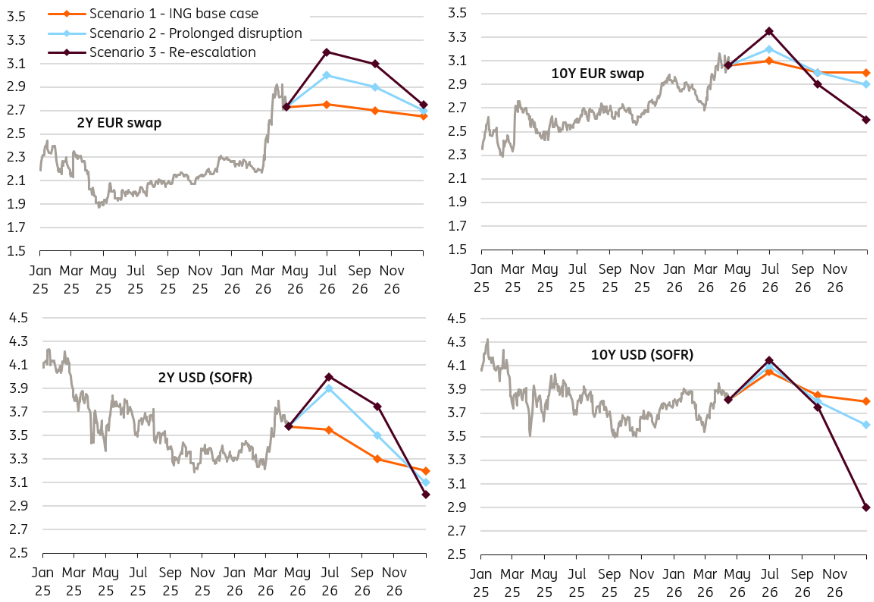
EUR and USD rates: Higher rates will struggle to hold over the medium-term

Euro rate markets are still positioned for more than two ECB hikes and seem willing to price in more if oil prices were to rise again. In the near term, that means markets could even get pushed towards four hikes, implying a 2Y swap rate moving well above 3%. For the higher oil price scenarios, we do, however, anticipate a sharp dovish shift as growth concerns start mounting towards the end of the year. That means markets would already start eyeing ECB cuts in 2027, pulling the 2Y rate even below current levels.

For 10Y euro rates, the initial reaction to higher oil prices will still be bearish, but the scope to go higher should be limited. Growth concerns on the back of tighter monetary policy and higher energy costs should start weighing on market sentiment. In effect, this starts pushing down longer-dated rates, also explaining the 2s10s curve inversion towards the end of 2026 in the worst outcome.

The outlook is similar for US rates, with the 2Y swap reaching 4% in the highest oil scenario. Also, 10Y rates can move materially higher in the near term, even in our baseline scenario, especially since market sentiment remains resilient. With inflation numbers coming in hot throughout 2026, that upward pressure on rates should hold. When markets turn more pessimistic on the growth outlook, however, the focus should shift from inflation to recession risks. In effect, this pushes down real rates, bringing 2Y and 10Y to levels below where we stand today.

Three scenarios for swap rates



Source: Macrobond, ING

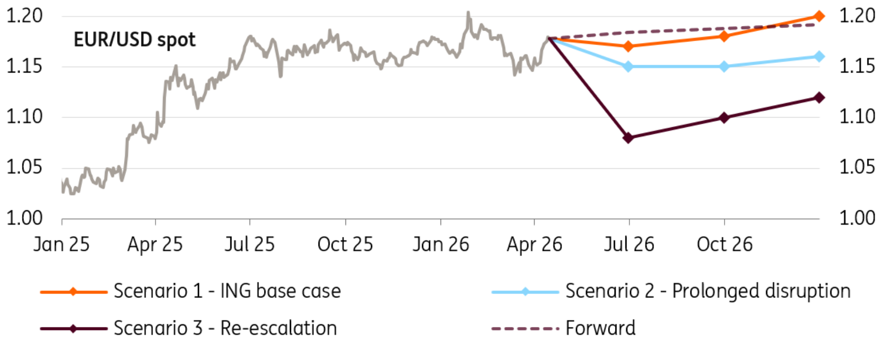
EUR/USD: Our baseline remains modestly bullish

Our baseline EUR/USD call for 3Q (1.18) and 4Q (1.20) remains unchanged from last month. While we now embed one ECB hike into our forecast, market pricing remains more hawkish (55bp) and we have revised our oil forecast higher. The backbone of our bearish USD view into year end remains our expectation of two Fed cuts, which should reopen USD hedging channels by easing front end rates.

If anything, risks sit on the upside relative to our 1.20 year end target, as the ECB might end up delivering two hikes after all and political uncertainty building into the November midterms could trigger more US specific dollar weakness. And if Republicans lose both houses of Congress, limits on Trump's ability to pursue new fiscal stimulus could reinforce structurally bearish views on the dollar.

In the shorter run, we see risks mildly tilted on the downside for EUR/USD, and we target 1.170 for the end of the second quarter. Markets have already leaned aggressively into the de escalation trade, while ECB expectations still look too hawkish. We expect no change at the 30 April meeting, followed by scope for dovish repricing.

Three scenarios for EUR/USD



Source: Refinitiv, ING

Return below 1.10 in EUR/USD in severe scenario

In our second scenario, we estimate that a moderate re escalation and longer oil supply disruptions will push EUR/USD back toward 1.15 for much of the remainder of the year. That level served as a key anchor in March, and under this scenario we would expect two ECB hikes and one Fed cut, broadly in line with current market pricing.

In the most severe scenario, the sensitivity of USD crosses to oil prices should rise sharply, relegating rate differentials to a secondary role. Average Brent prices in the US$135-150/bbl range would, in our view, be consistent with a move back below 1.10 in EUR/USD. That assumes an accompanying sharp deterioration in global risk sentiment, in a stagflationary environment where the Fed decides not to cut rates.

In numbers: Our three scenarios

	1 Base case			2 Prolonged disruption			3 Re-escalation		
	Q2	Q3	Q4	Q2	Q3	Q4	Q2	Q3	Q4
Brent Crude (USD/bbl)	96	93	88	110	102	100	135	150	120
Dutch TTF gas (EUR/MWh)	55	45	45	74	60	60	90	75	80
US Inflation (YoY%)	4.1	3.8	3.2	4.4	5.1	4.8	4.9	6.7	6.4
Eurozone Inflation (YoY%)	3.7	3.9	3.8	4.1	4.5	4.5	4.6	6.0	5.8
ECB Deposit Rate (%)	2.25	2.25	2.25	2.25	2.50	2.50	2.25	2.50	2.75
Fed Funds Rate (%)	3.75	3.50	3.25	3.75	3.75	3.50	3.75	3.75	3.75
2Y EUR swap rate (%)	2.75	2.70	2.65	3.00	2.90	2.70	3.20	3.10	2.75
10Y EUR swap rate (%)	3.10	3.00	3.00	3.20	3.00	2.90	3.35	2.90	2.60
2Y USD swap rate (%)	3.55	3.30	3.20	3.90	3.50	3.10	4.00	3.75	3.00
10Y USD swap rate (%)	4.05	3.85	3.80	4.10	3.80	3.60	4.15	3.75	2.90
EUR/USD	1.17	1.18	1.20	1.15	1.15	1.16	1.08	1.10	1.12

Source: ING

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Energy market outlook hinges on the Middle East

The key factor for energy markets remains developments in the Middle East. The only way energy prices move lower is the resumption of flows through the Strait of Hormuz. In the absence of this, prices will only move higher

Dated Brent crude oil prices hit $144.46 a barrel recently, an all-time high

Oil futures don't fully reflect the scale of supply disruptions

Oil flows through the Strait of Hormuz remain largely cut off, which continues to tighten the oil market. However, despite this significant tightening, the futures market appears to be responding more to headlines over how the war may evolve, with hopes that we could see a resolution in the coming weeks. However, we just need to look at the physical market to get a better idea of the reality of the supply disruption. Dated Brent has traded as high as $144/bbl recently and is trading at around a $30/bbl premium to Brent futures. Clearly, the longer supply disruptions persist, the more likely we will see futures needing to catch up with the physical market.

We estimate that around 13m b/d of oil flows from the Persian Gulf are being disrupted due to the Strait of Hormuz blockade. This is after taking into account pipeline diversions, Iranian tankers still moving through the Strait (although this could change with the recent US blockade), as well as some other tankers transiting this key chokepoint. While releases of government stocks and the drawing down of floating storage have helped the market, the shortfall is still significant. Therefore, there is a need for demand destruction. We are already seeing signs of this, particularly in parts of Asia, with several governments in the region announcing measures to reduce energy consumption. Clearly, the longer this persists, the more demand destruction we will need to see, and this will have to occur across other regions as well. To drive further demand destruction, we will need to see higher oil prices.

For now, our base case is that energy flows will start to make a gradual recovery through the second quarter. However, flows will remain below pre-war levels until at least year-end. This would see Brent averaging $96/bbl over 2Q26 and $89/bbl over the full year 2026. A more extreme scenario would be where Persian Gulf flows remain mostly cut off, while escalation sees extensive infrastructure damage, and risks to Red Sea oil flows also grow, which could see Brent trading over $150/bbl.

The LNG market continues to tighten

The global LNG market also continues to tighten with developments in the Persian Gulf, and the market is set to see supply disruptions persist for longer, even if we were to get a quick resumption of vessel movements through the Strait of Hormuz. Firstly, restarting Qatari LNG capacity will take some time, while 17% of Qatari LNG capacity will also be offline for the foreseeable future after an Iranian attack. As a result, we are seeing the Asian and European gas market increasingly pricing in a tighter market until 2027. A delay in the start of new Qatari capacity only adds to a tighter-than-expected outlook.

There is little in the way of supply alternatives for the market to offset the sizeable volumes we are seeing disrupted from the Persian Gulf. The ramp-up of new US LNG capacity is simply not enough. Therefore, demand destruction will be key to balancing the gas market. This will likely be evident in the power sector, where we expect the industry to lean more on coal, particularly in Asia. But even in Europe, it makes more sense to burn coal rather than gas, even when taking into consideration carbon prices.

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